DIGITALAIKART

THE EDUCATION LOAN PLAYBOOK

India 2026-27 Edition

Fund your degree the smart way: the PM-Vidyalaxmi scheme decoded, the portal walked step by step, the 3% interest subvention claimed, the tax you get back, and the rejection traps dodged.

Verified from the Ministry of Education, PIB, the PM-Vidyalaxmi and Vidya Lakshmi portals, NCGTC, the IBA Model Scheme, bank rate cards and the Income-tax Act, 2025 - October 2026

What is inside this playbook

A single, source-verified system for turning a fee bill into an approved, affordable education loan - in eight parts, 57 chapters and thirteen reference tables.

PART 1 - THE BIG PICTURE

1. The loan is the easy part - the scheme is where the money is won
2. Three doors into an education loan (and which one is yours)
3. Every rate here is a benchmark plus a spread
4. The three numbers to check before you sign anything
5. Why higher education costs so much more than it did

PART 2 - THE GOVERNMENT SCHEMES, DECODED

6. PM-Vidyalaxmi: collateral-free, guarantor-free, 1,425 institutions
7. The 75% credit guarantee inside PM-Vidyalaxmi
8. The 3% interest subvention: your family income decides
9. CSIS: the full interest waiver for EWS families
10. CGFSEL: the guarantee that deletes the collateral demand
11. Which scheme is yours? A one-page decision
12. Worked scenarios: three students, three routes
13. What the schemes do not cover
14. How to check if your institution is a QHEI

PART 3 - THE REAL COST MATHS

15. What actually happens to your interest during study
16. Worked EMIs at today's rates
17. The full cost over the life of the loan
18. The Rs. 7.5 lakh line and the margin money nobody warns you about
19. The two rate discounts most families forget
20. Section 129: the tax you get back (old regime only)
21. How to read a sanction letter
22. The three levers that cut your total bill

PART 4 - APPLYING, STEP BY STEP

23. The PM-Vidyalaxmi portal, screen by screen
24. The document vault
25. The interest-subvention claim you must not miss
26. Keeping the 15-day clock moving
27. The twelve-week application calendar
28. The common portal errors and their fixes
29. A worked application, start to finish

PART 5 - GETTING APPROVED

30. FOIR: the number that rejects more loans than CIBIL
31. The co-applicant's CIBIL score
32. The twelve rejection traps and the fix for each
33. Rejected? The recovery ladder

34. Building a stronger profile in 90 days
35. The institution tier and why it moves your rate
36. The parent's role: preparing the co-applicant file
37. If your income sits near a scheme line

PART 6 - STUDYING ABROAD

38. What changes when the college is overseas
39. PSU bank or NBFC?
40. The abroad document set
41. Disbursement, currency and remittance
42. Choosing the course with repayment in mind

PART 7 - REPAYING WITHOUT REGRET

43. The moratorium, decoded
44. Repay early, save lakhs
45. Fitting the EMI into your first salary
46. Refinancing and takeover
47. If you cannot pay: the guarantee is not a free pass
48. Life events and your loan
49. The exit plan: finishing the loan early

PART 8 - TOOLS AND DEEP DIVES

50. Your 30-day action plan
51. The worksheets
52. The one-page quick reference card
53. Twenty-five questions everyone asks
54. Glossary
55. Sources and where to re-check
56. The bank-visit checklist
57. Five pairs people confuse

> **Read this first**
>
> Rules, rates and scheme limits change every cycle. This playbook gives you the exact structure, the official sources and the questions to ask - so that when a number has moved, you can re-check it in two minutes rather than guess. The figures here are current to October 2026.

PART 1

The big picture

An education loan in India is no longer a favour you beg a bank for. For most merit-admitted students it is now a near-automatic, collateral-free, partly subsidised product - if you walk through the right door. This part shows you where the money is actually won and lost.

1. The loan is the easy part - the scheme is where the money is won

The single biggest mistake families make is shopping only for an interest rate. Two students can borrow the same Rs. 20 lakh at the same nominal rate and pay very different amounts, because the government quietly stands behind one of them and not the other. Getting the scheme right is worth more than shaving 0.25% off a rate.

The scale of this market is real. In the first year of the unified PM-Vidyalaxmi portal, more than 3.31 lakh education loans were sanctioned, with Rs. 7,229 crore disbursed for first-year courses. Under the PM-Vidyalaxmi scheme alone, 1,12,817 collateral-free, guarantor-free loans worth Rs. 15,634 crore had been sanctioned by 21 July 2026. Separately, the Credit Guarantee Fund for Education Loans had backed more than 11.8 lakh loan accounts worth Rs. 46,674 crore up to March 2025.

That is the landscape you are stepping into. This playbook turns it into a plan.

3.31 lakh
education loans sanctioned through the portal in its first year

Rs. 15,634 Cr
PM-Vidyalaxmi loans sanctioned by 21 July 2026

1,425
Quality Higher Education Institutions covered

Rs. 8 lakh
family-income line for the 3% interest subvention

Sources: Ministry of Education portal data reported March 2026; PIB releases, July 2026; NCGTC, 2025.

2. Three doors into an education loan (and which one is yours)

Almost every education loan in India sits behind one of three doors. They are not rivals so much as a ladder: start at the top, drop down only if you must.

Door	Who runs it	Who it suits	The catch
PM-Vidyalaxmi	Ministry of Education + banks	Merit-admitted students at a listed quality institution (a QHEI)	Institution must be on the QHEI list; management and NRI quota admissions excluded
IBA Model Education Loan	Every scheduled bank, to IBA's common rulebook	Any student at any recognised Indian or foreign institution	Collateral-free only up to Rs. 7.5 lakh; above that, security is usually required
NBFC / private lender	Credila, Avanse, InCred and similar	Students with weaker co-applicant income, unlisted institutions, or a large abroad loan	Higher rates; a different, ROI-driven risk model

The order of operations is simple: check the QHEI list first, because a PM-Vidyalaxmi loan is the only route that removes collateral entirely regardless of the amount. If your institution is not on the list, you fall back to the IBA Model Scheme - and then the Rs. 7.5 lakh collateral-free ceiling matters enormously.

3. Every rate here is a benchmark plus a spread

Education loan rates look mysterious only until you see that they are all one number plus another. The base is a repo-linked benchmark the Reserve Bank of India requires banks to publish - the External Benchmark Lending Rate (EBLR), or a bank's own Repo-Linked Lending Rate (RLLR/BRLLR). On top of that sits a spread that reflects how risky the bank thinks you are.

As published by the banks in October 2026, the State Bank of India's EBLR stood at 7.90% (the RBI repo rate of 5.25% plus a 2.65% spread), and Bank of Baroda's equivalent benchmark, BRLLR, was also 7.90%. Every rate below is that benchmark with a spread added or, for the best students, subtracted.

> **Why 'floating' matters**
>
> These loans are floating for their whole life. When the RBI moves the repo rate, your rate follows at the next quarterly reset. A 0.25% repo cut lowers a Rs. 20 lakh loan's EMI by roughly Rs. 300 a month - which is why you should always ask which benchmark a loan uses and how often it resets.

4. The three numbers to check before you sign anything

When a bank hands you a sanction letter, three numbers decide what the loan really costs you. Read them before you sign, not after.

The number	What it means	What to ask
The rate and its benchmark	Your interest rate is a benchmark plus a spread	Which benchmark, and what is the spread? Is it EBLR or the bank's own RLLR?
The reset frequency	How often the floating rate adjusts	Quarterly, or slower? A quarterly reset passes on a repo cut sooner
The tenure	How long you repay, and the EMI it produces	What is the EMI, and is there a longer tenure that lowers it?

A fourth number, the processing fee, is usually small on education loans - some banks waive it entirely for premier institutions. But it belongs in the comparison too.

5. Why higher education costs so much more than it did

Education loans matter because the cost of a degree has climbed faster than family savings. India's Gross Enrolment Ratio in higher education rose from 23.7% in 2014-15 to 30.0% in 2023-24 - more students, chasing more seats, at higher fees. The Government's own framing of the PM-Vidyalaxmi scheme is blunt about the consequence: meritorious students were being denied top institutions not for lack of merit but for lack of finance.

That is why the state now stands behind the loan. The schemes in Part 2 exist precisely because the gap between a seat and a family's cash has widened. Your job is to use them in the right order.

> **The takeaway**
>
> You are not choosing whether to borrow - most families must. You are choosing which scheme, which lender and which terms. That choice is worth lakhs.

PART 2

The government schemes, decoded

Four programmes quietly do most of the heavy lifting: PM-Vidyalaxmi, the 3% interest subvention inside it, the older CSIS full-interest waiver, and the CGFSEL credit guarantee. Most students qualify for at least one. Here is exactly what each does.

6. PM-Vidyalaxmi: collateral-free, guarantor-free, 1,425 institutions

PM-Vidyalaxmi, approved by the Union Cabinet on 6 November 2024, is the flagship. Its central promise is blunt: if you win a seat on merit at a listed quality institution, the bank gives you a loan with no collateral and no third-party guarantor - whatever the amount. The scheme went live on a single digital portal on 25 February 2025.

- **Collateral-free and guarantor-free:** no property, no fixed deposit and no guarantor is required, at any loan amount.
- **No ceiling on the loan amount:** the loan can cover tuition, hostel, mess, other fees, a reasonable laptop and living expenses - as the institution's cost requires.
- **Open to all income groups:** unlike a scholarship, the loan itself is not means-tested.
- **Rate capped at EBLR + 0.5%:** the bank cannot charge more than its own benchmark plus half a percentage point - always less than its ordinary education loan.
- **Repayment up to 15 years,** after a moratorium of the course period plus one year.
- **1,425 institutions covered** as of July 2026, including public and private colleges.

Who is on the list - the QHEI rule

An institution counts as a Quality Higher Education Institution (QHEI) if it is in the top 100 of the latest NIRF rankings overall, category-wise or domain-wise; or is a state-government institution ranked 101-200 in NIRF; or is any remaining institution governed by the Government of India. The list is refreshed each year with the new NIRF rankings, and it began with 860 institutions, growing to 1,425. Indian campuses of foreign universities, foreign campuses of Indian universities, and foreign universities are not covered.

> **The one exclusion to remember**
>
> PM-Vidyalaxmi covers students admitted on their own merit through competitive examinations. Management-quota and NRI-quota admissions do not get the benefit - a rule the PIB states plainly. If you are admitted through a management quota, look at the IBA Model Scheme instead.

7. The 75% credit guarantee inside PM-Vidyalaxmi

The reason a bank will hand a Rs. 30 lakh loan to a student with no assets is not charity - it is a guarantee. For every PM-Vidyalaxmi loan of up to Rs. 7.5 lakh, the Government of India provides a 75% credit guarantee on the outstanding default. That backs the bank's risk and lets it lend without collateral or a guarantor.

The guarantee is a separate layer from the interest subvention. One removes the collateral demand; the other reduces your interest. A student from a family earning up to Rs. 8 lakh can, in principle, benefit from both - a collateral-free loan and a 3% subvention - on the same borrowing.

> **Guarantee, not subsidy**
>
> The 75% guarantee protects the bank, not you. You still owe the full amount. Its value to you is that it is the mechanism that makes the collateral-free promise real.

8. The 3% interest subvention: your family income decides

Inside PM-Vidyalaxmi sits the benefit that actually saves money: a 3% interest subvention during the moratorium period. The government pays 3% of the interest so you do not have to. It is targeted, not universal.

The rule	The detail
Who qualifies	Families with annual income up to Rs. 8 lakh, not already receiving another government scholarship or interest subvention
How much is covered	3% interest subvention during the moratorium (course period plus one year)
On how much loan	Loans up to Rs. 10 lakh
How many slots	One lakh fresh students each year
Preference given to	Students from government institutions who opted for technical or professional courses
Outlay	Rs. 3,600 crore over 2024-25 to 2030-31, for up to seven lakh students

The subvention is not automatic. After the financial year ends, the portal shortlists eligible students and tells them - by SMS and WhatsApp - to apply for the benefit on the same portal. Miss that window and you lose that year's benefit. Chapter 22 walks you through the claim.

What 3% is worth

On a Rs. 10 lakh loan during a four-year moratorium (a three-year course plus one year), a 3% subvention is worth about Rs. 30,000 a year - roughly Rs. 1.2 lakh saved across the study period, straight off your interest bill.

9. CSIS: the full interest waiver for EWS families

The older Central Sector Interest Subsidy (CSIS) scheme, now administered as part of PM-USP, is more generous but narrower. For genuinely low-income families it can erase the entire interest bill during study.

The rule	The detail
Who qualifies	Students from economically weaker sections - annual parental or family income up to Rs. 4.5 lakh
What is covered	The full interest during the moratorium (course period plus one year)
Which courses	Professional or technical courses only, at NAAC-accredited institutions, NBA-accredited programmes, Institutions of National Importance, or Centrally Funded Technical Institutions
Loan limit	Subsidy applies to loans up to Rs. 10 lakh (a larger loan is subsidised only up to that amount)
How often	Only once - for an undergraduate, postgraduate or integrated course
Exclusions	You cannot also hold another central or state scholarship or fee reimbursement

The government pays simple interest for the moratorium period, provided you complete the course. The bank claims the subsidy on your behalf, and the amount reaches your loan account through Direct Benefit Transfer. Income proof must come from the designated public authority of your state, obtained once at sanction.

10. CGFSEL: the guarantee that deletes the collateral demand

The Credit Guarantee Fund Scheme for Education Loans (CGFSEL) is the quiet machinery behind every collateral-free loan up to Rs. 7.5 lakh. It is not a loan and not a subsidy - it is a guarantee, run by the National Credit Guarantee Trustee Company (NCGTC) under the Ministry of Finance, that protects the bank, not you.

Here is the mechanic. When a bank lends you up to Rs. 7.5 lakh under the scheme, NCGTC promises to reimburse the bank 75% of the amount if you default. That guarantee is what lets the bank drop its demand for collateral or a third-party guarantor in that bracket. Your own liability is unchanged - you still owe the full amount, and you still need a co-applicant, usually a parent.

Feature	Value
Collateral-free ceiling	Rs. 7.5 lakh - no collateral, no third-party guarantee
Guarantee to the bank	75% of the amount in default
Margin money	Nil up to Rs. 4 lakh; 5% for India and 15% for abroad above Rs. 4 lakh
Interest ceiling	Not more than 2% per annum over the applicable benchmark
Annual guarantee fee	0.50% per annum of the outstanding amount, paid by the bank
Who can lend	Public, private and foreign banks, Regional Rural Banks (from Nov 2025) and eligible cooperative banks (from Sep 2026)

The scheme has been widened over time: Regional Rural Banks were added as lenders in November 2025, and eligible scheduled state and urban cooperative banks in September 2026 - so the collateral-free option is now reachable in more places than before.

11. Which scheme is yours? A one-page decision

Read the table top to bottom and stop at the first row that fits. That is your route.

Your situation	Your route
Merit-admitted to a QHEI, any family income	PM-Vidyalaxmi - collateral-free at any amount, rate capped at EBLR + 0.5%
Merit-admitted to a QHEI, family income up to Rs. 8 lakh	PM-Vidyalaxmi **plus** the 3% interest subvention on loans up to Rs. 10 lakh
Family income up to Rs. 4.5 lakh, professional/technical course, accredited institution	CSIS - full interest waiver during the moratorium
Not at a QHEI, borrowing up to Rs. 7.5 lakh	IBA Model Scheme, protected by CGFSEL - collateral-free
Not at a QHEI, borrowing above Rs. 7.5 lakh	IBA Model Scheme with collateral, or an NBFC
Studying abroad, large loan	NBFC or a bank's global education scheme, with collateral or a liquid-asset pledge

Do not double-claim

The schemes do not stack where they overlap. CSIS and the PM-Vidyalaxmi subvention are alternatives, not additions, and both exclude students already holding another government scholarship or subvention. Pick the single best-fit benefit and apply for it cleanly.

12. Worked scenarios: three students, three routes

The rules make more sense on real profiles. Three students, three very different answers - and the reason each is different is the institution, the income and the borrowing size.

Student	The facts	The route	Why
A - IIT undergraduate	Merit seat at an IIT (a QHEI); family income Rs. 6 lakh; needs Rs. 12 lakh	PM-Vidyalaxmi + 3% subvention	Collateral-free at any amount; income under Rs. 8 lakh qualifies for the subvention on the first Rs. 10 lakh
B - private engineering college	Not a QHEI; family income Rs. 9 lakh; needs Rs. 6 lakh	IBA Model Scheme, CGFSEL-backed	Collateral-free under Rs. 7.5 lakh; income above Rs. 8 lakh so no PM-Vidyalaxmi subvention
C - postgraduate abroad	US master's; needs Rs. 35 lakh	NBFC or global scheme, with collateral	PM-Vidyalaxmi covers India only; above Rs. 7.5 lakh security is needed; 15% margin applies

Notice how little the student's marks matter in the decision - and how much the institution's list status and the family's income line do. Those two facts decide the route before a single document is uploaded.

13. What the schemes do not cover

The schemes are generous, but each has edges. Knowing them stops you wasting an application on a benefit you were never eligible for.

- **Management-quota and NRI-quota admissions** are excluded from PM-Vidyalaxmi - merit admission through a competitive exam is required.
- **Foreign institutions** are outside PM-Vidyalaxmi; that scheme is for study in India only.
- **Holding another government scholarship or interest subvention** disqualifies you from both the PM-Vidyalaxmi 3% subvention and CSIS.
- **Dropping out or failing to maintain satisfactory academic progress** can withdraw the CSIS and PM-Vidyalaxmi benefits, though the loan itself remains repayable.
- **Loans from relatives or employers** do not qualify for the Section 129 tax deduction - the lender must be a bank, notified institution or approved charitable institution.
- **Distance and part-time courses** are generally not financed by public-sector banks, though some NBFCs will consider them.
- **Agricultural land** is refused as collateral by most public-sector banks - offer an FD, LIC policy or non-agricultural property instead.

> **Read the edge before you commit**
>
> An hour spent checking eligibility now saves a rejected application and a wasted three months later. The QHEI list, your income line and your admission route decide almost everything.

14. How to check if your institution is a QHEI

The QHEI list is the single most important check in this whole playbook. If your institution is on it, PM-Vidyalaxmi's collateral-free promise is open to you at any amount. If it is not, your route changes completely - so do this before anything else.

1. **Check the NIRF rankings.** An institution qualifies if it is in the top 100 overall, category-wise or domain-wise; or is a state-government institution ranked 101-200; or is any institution governed by the Government of India.
2. **Confirm on the portal.** The PM-Vidyalaxmi portal carries the current list of covered institutions - search for yours by name.
3. **Ask the bank.** The lending bank can confirm whether your institution is treated as a QHEI for the scheme.
4. **Remember the list refreshes yearly** with the latest NIRF rankings, so check the current-year list, not last year's.
5. **Note the exclusions.** Indian campuses of foreign universities, foreign campuses of Indian universities and foreign institutions are not covered.

> **Two minutes now, lakhs later**
>
> Whether your institution is on the list decides whether you need collateral, which decides how much cash your family must arrange. Confirm it before you talk to any lender.

PART 3

The real cost maths

Numbers end arguments. This part gives you the actual EMI at today's rates, the full cost over the life of the loan, the margin money you must have ready in cash, and the two discounts and one tax break most families never claim.

15. What actually happens to your interest during study

During the moratorium - the course period plus one year - interest accrues but you do not have to pay it. Banks charge simple interest for this window, and you have a choice that quietly changes your whole repayment:

- **Service the interest** during the study period and you keep the loan balance from growing - and, under the IBA Model Scheme, you earn a 1% interest concession for doing so.
- **Let it accrue** and the unpaid interest is added to the principal when repayment starts, so your EMI is calculated on a larger amount.

This is the single most under-used lever in education finance. Paying even the interest each year, if the family can, shrinks the loan you finally repay and earns you a rate discount. Chapter 17 covers both concessions in full.

16. Worked EMIs at today's rates

The table below shows the monthly EMI after the moratorium, for the loan amounts families most often borrow, over a 15-year repayment at three representative rates. These are the numbers to hold in your head when a bank quotes you a rate.

Loan amount	7.0% p.a.	8.5% p.a.	9.5% p.a.
Rs. 500,000	Rs. 4,494 /mo	Rs. 4,924 /mo	Rs. 5,221 /mo
Rs. 1,000,000	Rs. 8,988 /mo	Rs. 9,847 /mo	Rs. 10,442 /mo
Rs. 2,000,000	Rs. 17,977 /mo	Rs. 19,695 /mo	Rs. 20,884 /mo
Rs. 3,000,000	Rs. 26,965 /mo	Rs. 29,542 /mo	Rs. 31,327 /mo

Monthly EMI after a 15-year repayment period, ignoring the moratorium. Illustrative; your rate is set by your institution tier and the bank's benchmark.

Two things jump out. First, the difference between 7% and 9.5% on a Rs. 20 lakh loan is about Rs. 3,000 a month - which is exactly why the PM-Vidyalaxmi rate cap and a premier-institution tier matter so much. Second, the amounts are survivable: a Rs. 10 lakh loan at 8.5% is about Rs. 9,850 a month, a first-salary-sized figure rather than a frightening one.

17. The full cost over the life of the loan

The EMI is not the whole story. Over 15 years, the interest you pay can approach or exceed the amount you borrowed. This table shows the total interest across the life of the loan at two rates, so you can see what the scheme choices are really worth.

Loan amount	Total interest at 9.5%	Total interest at 7.0%	What the lower rate saves
Rs. 500,000	Rs. 439,802	Rs. 308,945	Rs. 130,857
Rs. 1,000,000	Rs. 879,604	Rs. 617,891	Rs. 261,714
Rs. 2,000,000	Rs. 1,759,209	Rs. 1,235,782	Rs. 523,427
Rs. 3,000,000	Rs. 2,638,813	Rs. 1,853,673	Rs. 785,141

Read the gap between the columns. On a Rs. 20 lakh loan, moving from 9.5% to 7% saves about Rs. 5.9 lakh of interest over the life of the loan. That single gap - earned by getting into a premier institution or a scheme-capped loan - dwarfs almost every other money decision a young family makes.

18. The Rs. 7.5 lakh line and the margin money nobody warns you about

Two thresholds decide how much cash your family must find before the bank lends a rupee. The first is the collateral line; the second is the margin - your own contribution, which the bank will not finance.

Loan amount	Collateral	Margin (your cash)
Up to Rs. 4 lakh	None (CGFSEL-backed)	Nil
Above Rs. 4 lakh, up to Rs. 7.5 lakh	None (CGFSEL-backed)	5% for India, 15% for abroad
Above Rs. 7.5 lakh (not a QHEI)	Usually required	As the lender decides

Loan amount	Collateral	Margin (your cash)
Any amount at a QHEI (PM-Vidyalaxmi)	None	No margin rule in the scheme

The 15% trap

The 15% margin for studies abroad above Rs. 4 lakh catches families out. On a Rs. 7.5 lakh loan for a foreign course, you must fund 15% of the slice above Rs. 4 lakh yourself - real cash to have ready before you apply, not after. Plan it as part of the budget, not as an afterthought.

19. The two rate discounts most families forget

The IBA Model Scheme carries concessions that quietly lower your rate. Ask for both in writing at sanction - banks apply them when prompted, not always by default.

Concession	What it is	How to get it
Girl-student concession	0.50% off the standard rate for girl students	Confirm at sanction that it is applied
Interest-servicing concession	1% off if you service interest during study and moratorium	Choose to pay interest each year rather than let it accrue

A 0.5% concession on a Rs. 20 lakh loan over 15 years is roughly Rs. 60,000-70,000 of interest saved. The 1% servicing concession is worth more still, and it stacks with the smaller balance you carry because you paid the interest as it arose.

20. Section 129: the tax you get back (old regime only)

The interest you pay on an education loan is deductible from your taxable income - with no upper limit, which is rare. The catch is that it lives only in the old tax regime.

Feature	The rule
What is deductible	The entire interest paid in the year - no monetary cap
What is not	The principal repayment is never deductible
How long	The year you start repaying, plus the next seven - eight years in all, or until the interest is fully paid
For whose education	Your own, your spouse's, your children's, or a student you are legal guardian of
Which lender	A bank, notified financial institution or approved charitable institution - not a relative or employer
Which regime	Old regime only. The new (default) regime does not allow it
The section	Section 80E of the 1961 Act; renumbered Section 129 under the Income-tax Act, 2025, from Tax Year 2026-27

A worked example: if you pay Rs. 1.2 lakh of interest in a year and you are in the 30% bracket, the deduction saves you about Rs. 37,400 in tax that year (30% plus the 4% cess). If the loan is large, this single deduction is often what tips the old-versus-new-regime decision - worth running with a chartered accountant before you file.

Keep the certificate

> Ask your lender every year for the interest certificate that splits interest from principal. The deduction is limited to the interest figure on that certificate, not your EMI. Without it, you cannot claim.

21. How to read a sanction letter

A sanction letter is the contract. Before you sign, confirm every one of these lines - an error discovered later is expensive.

- **The amount sanctioned** and whether it covers the full course or only the first year.
- **The rate, the benchmark and the spread** - check it is what you were promised, and that the PM-Vidyalaxmi cap is applied if eligible.
- **The reset frequency** - quarterly is better for you than annual.
- **The moratorium and tenure** - confirm the course-plus-one-year holiday and the repayment period.
- **The concessions** - the girl-student and interest-servicing discounts, in writing.
- **Any processing fee, insurance or guarantee fee** passed on to you, and whether it is deductible from the loan.
- **Prepayment terms** - there should be no penalty under the IBA scheme.

> **If a line is wrong**
>
> Raise it before signing. Sanction letters can be corrected; a signed letter with the wrong spread usually cannot.

22. The three levers that cut your total bill

Parts 3 and 7 described the levers one at a time. Pulled together on one loan, they add up to a number worth chasing.

Take a Rs. 10 lakh loan for a four-year moratorium, a girl student, a family income within the subvention limit, who chooses to service the interest. Each lever works on a different part of the bill:

Lever	What it does	Indicative saving
3% interest subvention	Government pays 3% of the moratorium interest	About Rs. 1.2 lakh over four years
0.5% girl-student concession	Lowers the rate for the whole loan	Roughly Rs. 40,000-60,000 over 15 years
1% interest-servicing concession	Rewards paying interest during study	Roughly Rs. 80,000 or more over 15 years
Section 129 tax deduction	Full interest off taxable income for 8 years	About Rs. 37,000 a year at the 30% bracket

Stacked, these levers can move a loan from expensive to manageable without changing the course, the institution or the amount borrowed. The one thing they all require is deliberate action at the right moment - opt in, ask in writing, pay the interest, keep the certificate.

The order matters

Claim the subvention at application, ask for the concessions at sanction, service the interest during study, and claim the tax deduction when you file. Miss any step and that lever is gone for good.

PART 4

Applying, step by step

The application is now almost entirely digital, and it runs through one portal. This part walks the screens, lists the documents, and shows you the two deadlines that catch people out.

23. The PM-Vidyalaxmi portal, screen by screen

The unified portal at pmvidyalaxmi.co.in replaced the older, separate Vidya Lakshmi process. It is one window for the loan, the interest subvention and the credit guarantee. Here is the flow.

1. **Register.** Create an account with your mobile number and email ID, and verify both by OTP. Aadhaar is mandatory for the loan, the subvention and the guarantee.
2. **Log in and complete your profile.** Personal details, permanent address, family income, Aadhaar and PAN.
3. **Fill the loan application form.** The two-page Common Education Loan Application Form (CELAF), prescribed by the Indian Banks' Association and accepted by all participating banks.
4. **Upload your documents** in PDF or JPEG, each under 200 KB.
5. **Choose up to three banks** from the participating lenders.
6. **Review and submit.** Only one active application is allowed at a time.
7. **Track the application** under the Track Loan Application tab, and respond to any bank query promptly.

Applying to three banks at once is a genuine advantage - each assesses your file independently, so you can compare sanction letters on rate, tenure and processing fee and accept the best. Banks are expected under the IBA guidelines to process a complete application within 15 days and to communicate the decision.

24. The document vault

Assemble everything before you start; missing documents are the most fixable cause of delay and one of the most common reasons an application stalls.

From the student	From the co-applicant / parent
Class 10 marksheet	Aadhaar and PAN
Class 12 / last qualifying exam marksheet	Address proof
Proof of admission to the course	Income proof - salary slips and Form 16, or ITR for 2-3 years if self-employed
Schedule of expenses issued by the institution	Six months of bank statements (the salary account)

From the student	From the co-applicant / parent
Entrance exam result, where applicable	CIBIL report (pull it yourself first)
Photograph of the student and a parent	Collateral papers - only if the loan needs security

Every document must show the same name and date of birth. A mismatch between Aadhaar, PAN and a marksheet can stall an otherwise perfect file for weeks - fix names and spellings before you apply, not after.

25. The interest-subvention claim you must not miss

The 3% subvention does not arrive by itself. The process runs on the portal's clock:

- When you submit the loan form, opt in to the interest-subvention intent if your family income is within the limit.
- After the financial year ends, the portal shortlists eligible students and notifies them by SMS and WhatsApp to apply for the benefit.
- You apply on the same portal with your income certificate and completed documents.
- The application is checked for duplication through PFMS, and the amount is credited to your PM-Vidyalaxmi digital wallet.
- You must then redeem the wallet amount into your loan account within the deadline the portal sets - if you do not, you lose that year's benefit.

> **Set a reminder**
>
> Subvention claims for loans disbursed in a financial year are processed after that year closes, and the student must act within the notified window. The bank that gave the loan files the claim; your job is to respond when the portal calls and to redeem the wallet in time. Diarise it the day you take the loan.

26. Keeping the 15-day clock moving

Two clocks run during an application. The bank is expected to decide within about 15 days of a complete application; you are expected to answer queries quickly. Most stalls are caused by the applicant, not the bank.

- Reply to any document request within a week - the portal shows the requirement in the remarks column of your dashboard.
- Never submit a conditional offer letter where the bank needs confirmed admission.
- Send the total cost breakdown, not a single semester's fee.
- Start at least three months before your fee deadline. Public-sector banks can take four to eight weeks end to end.

27. The twelve-week application calendar

Work backwards from your fee deadline. Twelve weeks of calm beats three weeks of panic - and public-sector banks really do take four to eight weeks.

When	What to finish
12 weeks before	Confirm admission and the total fee structure; check the QHEI list; pull the co-applicant's CIBIL report
10 weeks before	Fix any name or date-of-birth mismatches; assemble the document vault; compute the funding gap
8 weeks before	Register on the portal; fill the CELAF; opt in to the subvention if eligible
6 weeks before	Upload documents; select up to three banks; submit
4 weeks before	Track applications; answer queries within a week; prepare collateral papers if needed
2 weeks before	Compare sanction letters; accept the best; confirm concessions in writing
Fee deadline	Disbursement to the institution, per the fee schedule

28. The common portal errors and their fixes

Most application delays are not policy problems - they are small, fixable portal mistakes. Here are the ones that cost the most time.

What you see	Why it happens	The fix
Upload rejected	A document over the 200 KB size limit or in the wrong format	Compress to PDF or JPEG under 200 KB and re-upload
Verification query	A name or date-of-birth mismatch across documents	Correct Aadhaar, PAN and marksheet records, then resubmit
Status stuck on 'on hold'	The bank needs a document you have not sent	Check the remarks column on your dashboard and respond within a week
Cannot start a second application	Only one active application is allowed	Withdraw the submitted application if it is still open
No subvention later	The interest-subvention intent was not ticked during the form	Opt in during the CELAF; apply when the portal notifies you after the year ends
Disbursement blocked	A conditional offer letter was uploaded instead of the final one	Upload the unconditional admission letter and the total fee structure

None of these is a reason to panic - every one has a fix. The discipline is to check the dashboard regularly and answer queries fast, because the clock is the applicant's to lose.

29. A worked application, start to finish

Rules become obvious when you watch one application run. Here is a realistic one - a merit seat at a QHEI, family income of Rs. 6.5 lakh, a need of Rs. 14 lakh - start to disbursement.

1. **Week 1:** confirm the seat and the total fee structure; check the institution on the QHEI list; pull the parent's CIBIL report - it reads 742, comfortably above the floor.
2. **Week 2:** assemble the document vault; fix a small spelling mismatch between Aadhaar and PAN; compute the funding gap after the family's own contribution.
3. **Week 3:** register on the portal; fill the CELAF; tick the interest-subvention intent (income is under Rs. 8 lakh); upload documents; select three banks.

4 **Week 4:** one bank asks for the total course cost breakdown, not one semester's fee - the student responds within two days.

5 **Week 6:** two sanctions arrive. One is at 7.2%, one at 7.9%. The lower one also applies the interest-servicing concession in writing.

6 **Week 6:** the student accepts the better sanction, confirms the rate cap and the concession, and sets a calendar reminder for the subvention claim after the year ends.

7 **Fee deadline:** the loan is disbursed to the institution per the fee schedule.

> **Why it went smoothly**
>
> It started six weeks before the deadline, the credit score was checked early, and the documents were consistent. Almost every stalled application fails on one of those three - not on the student's merit.

PART 5

Getting approved

Admission is not approval. A lender still tests whether the family can repay. This part explains the two numbers that decide most rejections, the twelve traps, and what to do if you are turned down.

30. FOIR: the number that rejects more loans than CIBIL

The education loan is not judged on the student's marks alone. Banks compute the Fixed Obligation to Income Ratio (FOIR) - the share of the co-applicant's monthly income already committed to EMIs, credit-card dues and other fixed obligations, once the proposed education loan EMI is added.

> **FOIR, in one line**
>
> FOIR = (all existing monthly EMIs + the proposed education-loan EMI) divided by the co-applicant's monthly income. Lenders typically decline once this crosses roughly 50-55%. A co-applicant earning Rs. 60,000 with a Rs. 18,000 home-loan EMI and a Rs. 8,000 car EMI already sits at 43% before the education loan is even added.

This is why the fix is often not about the student at all. Prepaying a small, nearly-finished loan before you apply removes its EMI from the FOIR calculation entirely and can swing an application from decline to approval. Adding a second co-applicant - a working sibling or spouse - combines two incomes for the same test.

31. The co-applicant's CIBIL score

A fresh student usually has a thin or blank credit file, so the bank leans almost entirely on the co-applicant's credit history. This is the second filter, and it is fixable with time.

Co-applicant CIBIL score	What usually happens
750 and above	Smooth approval, the best available terms
700-749	Approved, often at a slightly higher spread
650-699	Public-sector banks hesitant; NBFCs more likely to approve

Co-applicant CIBIL score	What usually happens
Below 650	Declined at most public-sector banks
No credit history at all	Treated as higher risk - build a file early

Pull the co-applicant's own credit report months before applying. If it is below 700, clear overdue amounts, bring credit-card use below 30% of the limit, dispute any errors, and avoid new credit applications - each hard enquiry costs a few points. A score repair takes three to six months, so start early.

32. The twelve rejection traps and the fix for each

Most rejections are reversible, and nearly all are predictable. Here are the twelve traps, in roughly the order they strike.

#	The trap	The fix
1	Co-applicant's CIBIL below the bank's floor	Repair the score over 3-6 months, or add a cleaner co-applicant
2	FOIR above the lender's limit	Prepay a small existing loan, or add a second co-applicant
3	Co-applicant income too low for the loan size	Combine incomes, or reduce the loan ask
4	Institution not on the lender's approved list	Try another bank, or an NBFC with wider coverage
5	Course or programme not eligible	Confirm eligibility before applying; switch lender if needed
6	Conditional offer letter, not confirmed admission	Wait for the unconditional admission letter
7	Fee structure submitted for one semester only	Send the total cost of the course
8	Name or date-of-birth mismatch across documents	Fix Aadhaar, PAN and marksheet before applying
9	Collateral type the bank will not accept	Offer an FD, LIC policy or liquid asset instead
10	Collateral value below the required cover	Add a second asset to bridge the shortfall
11	Applying to many lenders at once	Use the portal's three-bank limit; space out enquiries
12	Undisclosed existing loans	Disclose everything - hidden liabilities read as fraud

Sources: the reasons lenders cite, as reported by Moneycontrol (August 2026) and confirmed by the mechanics of the FOIR and credit-scoring process.

33. Rejected? The recovery ladder

A rejection is a data point, not a verdict. Work the ladder in order.

1. **Get the reason in writing.** Regulated lenders are required to communicate why an application was declined. A vague verbal answer is not enough.
2. **Match the fix to the cause.** Documents take days to fix; collateral takes weeks; a CIBIL problem takes three to six months.
3. **Do not reapply blindly.** Reapplying at the same bank within 90 days, with the same profile, usually repeats the outcome.

4 **Change the lender category if needed.** If the institution is the issue, an NBFC with a wider approved list is the answer.

5 **Reapply once the cause is visibly fixed** - a higher score, a second co-applicant, or a different collateral asset.

34. Building a stronger profile in 90 days

If you have three months before your fee deadline, you can improve your odds deliberately rather than hoping. The highest-return actions, in order:

- **Pull the credit report and fix what is broken.** Clear every overdue amount, even a small one, and dispute errors - the score moves over two to three months.
- **Reduce the loan ask to the documented cost.** A number a bank can justify from the fee schedule is easier to sanction than a round figure pulled from the air.
- **Prepay the smallest existing EMI.** Removing even Rs. 8,000 a month from the FOIR can move an application from decline to approval.
- **Add a second co-applicant** with a clean credit history and documented income.
- **Keep the documentation perfect.** Consistent names, total cost breakdown, unconditional admission letter.
- **Use the portal's three-bank limit** instead of firing applications at every lender, which damages your score.

> **Sequence beats effort**
>
> Do these in order. A repaired score with a tidy file beats a rushed application at five banks - and the second does lasting damage to the first.

35. The institution tier and why it moves your rate

Two students can borrow the same amount at the same bank and pay different rates, because the bank prices by institution tier. Premier institutions are treated as lower risk and get lower spreads - sometimes a negative spread, where the bank lends below its own benchmark to win the borrower.

Tier	What it looks like in practice
Top IIMs / IITs and similar	The lowest rates; a bank may lend below its own benchmark
Other premier institutions (NITs, top private)	Low rates, still well under the ordinary education loan
PM-Vidyalaxmi tiers	Published rates have run roughly from the high-6% band to the mid-8% band across the scheme's tiers
Ordinary education loan	Closer to 9-10%, and higher for unsecured small loans

The lesson is not to chase a tier you cannot reach - it is to know your tier before you apply, so you can compare like with like and ask the right bank. Chapter 21's worked scenarios already showed how the tier, not the marks, decides the route.

36. The parent's role: preparing the co-applicant file

For a student fresh out of school, the loan is really a test of the parent's credit and income. Most rejections trace back to the co-applicant file, not the student's marks - so the parent's homework matters more than anyone expects.

- **Pull the credit report months early.** Fix overdue amounts and errors before you apply, not after a decline.
- **Keep the salary account clean.** Six months of statements are checked for bounced cheques and irregular credits.
- **File income-tax returns** for two to three years if you are self-employed - a documented income history beats a high but unproven one.
- **Do not take new credit** in the months before applying - each enquiry dents the score.
- **Disclose every existing EMI.** Hidden liabilities discovered later read as fraud.
- **Keep names and addresses identical** across Aadhaar, PAN and bank records.
- **Understand the FOIR test** and, if it is tight, prepay the smallest loan first.

> **One conversation**
>
> Sit with the co-applicant and walk through the FOIR and CIBIL chapters together before the application. Ten minutes of shared understanding prevents the most common rejection.

37. If your income sits near a scheme line

The schemes run on hard lines - Rs. 4.5 lakh, Rs. 8 lakh, Rs. 10 lakh. If your family income sits just above one of them, you lose the benefit attached to it, so it helps to know exactly where you stand.

Family income / loan	What changes for you
Up to Rs. 4.5 lakh	CSIS may apply - the full moratorium interest, for professional/technical courses at accredited institutions
Rs. 4.5 lakh to Rs. 8 lakh	The 3% PM-Vidyalaxmi interest subvention applies, on loans up to Rs. 10 lakh
Above Rs. 8 lakh	No subvention - you rely on the rate cap, the concessions and the tax deduction
Loan above Rs. 10 lakh	Any subvention or CSIS benefit applies only to the first Rs. 10 lakh

Income is counted as parental or family income from all sources, and it is proven with an income certificate from the designated public authority of your state. Because the lines are strict, get the certificate right - an overstated figure can cost you a benefit you were entitled to.

PART 6

Studying abroad

A foreign degree changes the loan's size, its security and the lender that will say yes. The rules below are what actually differ.

38. What changes when the college is overseas

- **The IBA Model Scheme allows up to Rs. 20 lakh for study abroad** (against Rs. 10 lakh for study in India). Beyond that, lenders fall back on their own global education products.
- **Collateral-free still stops at Rs. 7.5 lakh.** Above it, an abroad loan almost always needs security - a pledge, a mortgage or a liquid asset.
- **The margin rises to 15%** of the amount above Rs. 4 lakh. On a large abroad loan, that is a substantial sum to have ready in cash.
- **A passport is mandatory,** and the institution must be one the lender recognises.
- **PM-Vidyalaxmi does not cover foreign institutions.** The scheme is for study in India only, so the subvention and the any-amount collateral-free promise do not travel with you.

39. PSU bank or NBFC?

For abroad loans the trade-off is stark: public-sector banks are cheaper but stricter; NBFCs are more flexible but dearer.

	PSU bank	NBFC
Rate	Lower - repo-linked and capped	Higher - a wider spread
Institution list	Narrower approved list	Much wider global coverage
Co-applicant income	Strict FOIR test	More flexible documentation
Collateral	Required above Rs. 7.5 lakh	Liquid assets often accepted
Best for	Strong co-applicant, listed institution	Weaker profile, unlisted college, speed

The honest rule: try a public-sector bank first for the rate. Move to an NBFC only when the profile genuinely does not fit a PSU bank - because the rate gap over 15 years can run into lakhs.

40. The abroad document set

- Passport, plus admission proof and the total fee structure from the foreign institution.
- Academic records, entrance scores, and any language-test result.
- Co-applicant KYC, income proof and bank statements.
- Collateral papers with a clean chain of title, or a liquid-asset pledge (FD, LIC policy, government bonds).
- Evidence of the margin money, so the bank can see you are funding your share.

41. Disbursement, currency and remittance

An abroad loan is not paid to you in a lump sum. It is disbursed in tranches, timed to the institution's fee demands, and it is usually remitted in the currency the university bills in. Two practical consequences follow.

- **Time each tranche to the fee deadline.** A late disbursement is a late fee, so confirm the bank's remittance lead time for your country.

- **Watch the exchange rate on each tranche.** The rupee value of a foreign fee moves with the rate; a bank that fixes the conversion at disbursement removes a surprise, and one that does not, does not.
- **Keep every remittance advice.** They are your proof of disbursement and matter if there is ever a dispute with the institution or the bank.

> **Ask one question**
>
> Before you choose an abroad lender, ask: how many days between my request and the money reaching the university, and at what exchange rate is each tranche converted? The answer separates a smooth course from a semester of chasing fees.

42. Choosing the course with repayment in mind

An education loan is repaid out of future earnings, so the course you choose is also a repayment decision. Three checks belong in the choice.

- **Check the lender's approved-institution list before you accept an offer.** A degree no bank will finance is a degree you may not be able to fund.
- **Weigh the total cost against realistic post-course earnings.** The loan will outlast the excitement of the offer letter.
- **Prefer institutions with strong placement records.** Banks price by institution tier for a reason - and so should you.

> **The honest maths**
>
> If the projected first salary cannot comfortably carry the EMI, either the course, the institution or the borrowing size needs to change - before you sign, not after.

PART 7

Repaying without regret

The loan is cheapest when you understand the moratorium, prepay without penalty, and know what the guarantee does and does not cover.

43. The moratorium, decoded

The moratorium is the repayment holiday before your first EMI. Under the IBA Model Scheme it runs for the course period plus one year, or six months after you land a job - whichever is earlier. PM-Vidyalaxmi allows a repayment period of up to 15 years after the moratorium.

Simple interest accrues through the moratorium. If you service it, you avoid compounding and earn the 1% concession; if you do not, the accrued interest is added to the principal and the EMI is fixed on the larger amount. The IBA scheme also recognises spells of unemployment and allows a moratorium for a start-up incubation period - useful if you plan to build before you earn.

44. Repay early, save lakhs

There is no prepayment penalty on an education loan under the IBA Model Scheme - you may prepay at any time. Because interest is charged on the outstanding balance, every rupee prepaid early removes future interest.

> **Why early prepayment pays**
>
> On a long loan, the early EMIs are mostly interest. Paying down the principal in the first years - from a bonus, a stipend or a first salary - cuts the interest on every remaining month. With no penalty, there is nothing to lose and everything to save by prepaying when you can.

A simple rule: any windfall in the first five years should go to the loan before it goes anywhere else. The guaranteed return on prepaying a 9% loan is 9% - a return no safe investment will match.

45. Fitting the EMI into your first salary

The moratorium ends roughly a year after your course. By then you should be earning - and the EMI should already be a line in your budget, not a surprise. A rough template:

Share of take-home	Where it goes
Up to 30-40%	EMI on the education loan, sized so it fits here comfortably
10-15%	An emergency fund, until it holds three to six months of expenses
A fixed slice	A first SIP, started small, from the first salary
The rest	Living costs and a deliberate prepayment pot for the loan

Keep the EMI inside a band you can survive a lean month in. A loan repaid steadily for fifteen years beats one that strains your first year and then defaults.

46. Refinancing and takeover

If your credit profile improves - you start earning, or rates fall - a takeover by another lender can move the balance to a lower rate. The rules are simple: the eight-year tax window on interest continues across the refinance, and you combine the interest certificates from both lenders for the year of the switch. Compare the new rate against any processing fee before you move.

47. If you cannot pay: the guarantee is not a free pass

When a bank lends up to Rs. 7.5 lakh under CGFSEL, NCGTC guarantees 75% of the amount in default - to the bank. That protects the lender, not you. Your obligation is the full loan, and a default still damages your credit and your co-applicant's. The guarantee's real value is that it lets the bank lend to you without collateral in the first place. Treat it as the door, not the cushion.

If you genuinely cannot pay, talk to the bank before you miss an EMI. Banks would rather restructure than chase, and the IBA framework itself anticipates spells of unemployment. Silence is the only move that guarantees a worse outcome.

48. Life events and your loan

The loan runs up to fifteen years. Life will change inside that window. Here is what to do when it does.

Event	What to do
Job switch	Keep the EMI running; update your contact details with the bank
Going back to study	The IBA scheme allows a top-up loan and a moratorium extension if you resume study during the first loan's moratorium
Moving abroad	Inform the bank, keep an NRE/NRO account, and set up remittances for the EMI
Marriage	Update the nominee; tell the bank if the co-applicant or address changes
A windfall or bonus	Prepay - there is no penalty, and the interest saved is a guaranteed return
Job loss	Talk to the bank before you miss an EMI; restructuring beats silence

The thread through all of these is communication. A bank that knows your situation will work with you; a bank that is surprised by a missed EMI will not.

49. The exit plan: finishing the loan early

An education loan is debt with a guaranteed interest cost, and the fastest way to reduce it is to repay faster. A deliberate exit plan does that without straining your budget.

- **Attack the first five years.** Early EMIs are mostly interest, so prepayments made now save the most.
- **Route every windfall to the loan.** A bonus, a stipend or a gift - there is no prepayment penalty, so send it straight at the principal.
- **Consider a shorter tenure** if the higher EMI is comfortably affordable; less time means far less total interest.
- **Refinance if rates fall** or your profile improves - a takeover can cut the rate for the remaining years.
- **Keep an emergency fund** so a lean month never forces a missed EMI, which costs far more than the fund set aside.

> **Prepay or invest?**
>
> Prepaying a 9% loan is a guaranteed 9% return - no safe investment reliably matches that. Only invest instead of prepaying if your investment beats the loan rate after tax, and only with money you can genuinely lock away.

PART 8

Tools and deep dives

Everything in this part is meant to be used, not read once. Print the plan, fill the worksheets, and keep the quick reference card on your phone.

50. Your 30-day action plan

Four weeks, in order. Tick each line before moving on.

Week	Do this
Week 1	Confirm admission and the total fee structure. Check your institution against the QHEI list. Decide domestic or abroad.
Week 1	Pull the co-applicant's CIBIL report. Note the score and any overdue amounts.
Week 2	Fix names and dates of birth across Aadhaar, PAN and marksheets. Assemble the document vault.
Week 2	Compute the funding gap: total cost minus scholarships, minus family contribution, minus margin money.
Week 3	Register on the PM-Vidyalaxmi portal. Fill the CELAF. Opt in to the subvention if eligible.
Week 3	Upload documents and select up to three banks. Submit.
Week 4	Track the applications; answer queries within a week. Compare sanction letters and accept the best.
Week 4	Ask for the girl-student and interest-servicing concessions in writing. Set the subvention-claim reminder.

51. The worksheets

Print these and fill them in. They turn a confusing process into three short lists.

A. The funding-gap sheet

Line	Amount (Rs.)
Total cost of the course (tuition + hostel + mess + other fees)	
Add: laptop and living expenses you want financed	
Less: scholarships and fee waivers	
Less: family contribution	
Less: margin money you must fund yourself (0%, 5% or 15%)	
= The loan you actually need to borrow	

B. The lender comparison sheet

	Bank 1	Bank 2	Bank 3
Interest rate (and benchmark)			
Collateral-free limit			
Processing fee			
Tenure			
Subvention / scheme applied			

52. The one-page quick reference card

Screenshot this page. It is every number and rule in the playbook on one screen.

Item	The rule to remember
Collateral-free ceiling	Rs. 7.5 lakh (CGFSEL) - and any amount at a QHEI under PM-Vidyalaxmi

Item	The rule to remember
Margin money	Nil up to Rs. 4 lakh; then 5% for India, 15% for abroad
PM-Vidyalaxmi rate cap	EBLR + 0.5%
3% subvention	Family income up to Rs. 8 lakh, loans up to Rs. 10 lakh, moratorium only
CSIS	Family income up to Rs. 4.5 lakh, full moratorium interest, professional/technical courses
Moratorium	Course period plus one year, or six months after a job
Repayment	Up to 15 years after the moratorium
Girl-student concession	0.50% off
Interest-servicing concession	1% off if you pay interest during study
Prepayment penalty	None under the IBA Model Scheme
Tax deduction	Section 80E / 129 - full interest, no cap, 8 years, old regime only
Application portal	pmvidyalaxmi.co.in - up to three banks, one form

53. Twenty-five questions everyone asks

Question	Answer
Is an education loan really collateral-free?	Up to Rs. 7.5 lakh, yes, for most students - the CGFSEL guarantee removes the collateral and third-party guarantor demand. At a QHEI under PM-Vidyalaxmi, it is collateral-free at any amount.
What is the maximum I can borrow?	The IBA Model Scheme allows up to Rs. 10 lakh for study in India and Rs. 20 lakh for study abroad. At a QHEI, PM-Vidyalaxmi sets no ceiling - the loan covers the institution's cost.
Do I need a co-applicant?	Almost always, for a student fresh out of school. The loan is normally granted jointly with a parent or guardian, whose income and credit history the bank assesses.
What interest rate will I get?	It depends on your institution tier and the bank's benchmark. At a top QHEI under PM-Vidyalaxmi, published rates have run as low as 6.85-6.90%; ordinary education loans run closer to 9-10%.
What is the 3% interest subvention?	For families earning up to Rs. 8 lakh, the government pays 3% of the interest during the moratorium, on loans up to Rs. 10 lakh. One lakh students a year qualify.
What is CSIS?	The Central Sector Interest Subsidy - a full interest waiver during the moratorium for students with family income up to Rs. 4.5 lakh in professional or technical courses at accredited institutions.
Can I get both CSIS and the PM-Vidyalaxmi subvention?	No. They are alternatives, and both exclude students already holding another government scholarship or subvention.
What is the moratorium period?	The course period plus one year, or six months after you get a job, whichever is earlier. Interest accrues but no EMI is due.
Do I pay interest during my studies?	You may choose to. Servicing interest keeps your balance smaller and earns a 1% rate concession under the IBA scheme.
Is there a prepayment penalty?	No. Under the IBA Model Scheme you may prepay at any time without penalty.
How much can I save in tax?	The entire interest each year is deductible under Section 80E (Section 129 under the Income-tax Act, 2025) for eight years - but only in the old tax regime.
Which regime should I choose?	If your education-loan interest is large, the old regime is often better. Compare both regimes with a chartered accountant before filing.
What documents do I need?	Marksheets, admission proof, the fee schedule, KYC, photographs, income proof and bank statements for the co-applicant - all uploaded in PDF or JPEG under 200 KB.
How many banks can I apply to at once?	Up to three through the PM-Vidyalaxmi portal, using one common form.
How long does approval take?	Banks are expected to decide within about 15 days of a complete application, though PSU banks can take four to eight weeks end to end. Start three months early.
Why do education loans get rejected?	Mostly a weak co-applicant profile - a CIBIL score below the floor, or a FOIR above the lender's limit - followed by documentation errors and collateral problems.

Question	Answer
Does my institution need to be on a list?	Yes. PM-Vidyalaxmi covers only QHEIs. For other loans, each bank has its own approved list; NBFCs are more flexible.
Can I get a loan for a management-quota seat?	Not under PM-Vidyalaxmi - merit admission is required. The IBA Model Scheme is the route.
What if I study abroad?	Loans up to Rs. 20 lakh under the IBA scheme, above which lenders use their global products. Expect collateral above Rs. 7.5 lakh and a 15% margin above Rs. 4 lakh.
Is the credit guarantee a subsidy?	No. CGFSEL protects the bank, not you. It removes the collateral demand up to Rs. 7.5 lakh; your liability is unchanged.
What is the margin money?	Your own contribution, which the bank will not finance: nil up to Rs. 4 lakh, then 5% for India and 15% for abroad above that.
Can I change banks after sanction?	Yes - a takeover or refinance can move your balance to a better rate. The eight-year tax window continues across the switch.
Does the loan cover a laptop and living costs?	Under PM-Vidyalaxmi, yes - a reasonable laptop and living expenses can be included. Under the IBA scheme, within the lender's assessment of the cost of education.
What if I drop out?	CSIS and PM-Vidyalaxmi benefits can be withdrawn if you discontinue the course or fail to maintain satisfactory academic progress. The loan itself still has to be repaid.
Where do I apply?	One window: pmvidyalaxmi.co.in, for the loan, the interest subvention and the credit guarantee. Always confirm current rules on the portal and your bank's own page.

54. Glossary

Term	What it means
EBLR	External Benchmark Lending Rate - the repo-linked rate the RBI requires banks to publish; most new education loans are priced off it.
RLLR / BRLLR	Repo-Linked Lending Rate - a bank's own repo-linked benchmark, economically similar to EBLR.
Repo rate	The RBI's policy rate. In October 2026 it stood at 5.25%.
Moratorium	The repayment holiday before your first EMI - the course period plus one year, or six months after a job.
CELAF	Common Education Loan Application Form - the single form prescribed by the IBA and accepted by all participating banks.
QHEI	Quality Higher Education Institution - a college or university on the PM-Vidyalaxmi list, drawn from NIRF rankings.
CGFSEL	Credit Guarantee Fund Scheme for Education Loans - the NCGTC-backed 75% guarantee that makes small loans collateral-free.
CSIS	Central Sector Interest Subsidy - a full interest waiver during the moratorium for EWS families.
FOIR	Fixed Obligation to Income Ratio - the share of a co-applicant's income committed to EMIs; the main reason loans are declined.
CIBIL score	The credit score the bank checks; for a co-applicant, 700-plus is comfortable, below 650 is usually a decline.
Margin money	Your own cash contribution, which the bank will not finance.
Subvention	A government payment of part of your interest - 3% under PM-Vidyalaxmi, or the full moratorium interest under CSIS.
Section 80E / 129	The income-tax deduction for education-loan interest - full interest, no cap, eight years, old regime only.
Takeover / refinance	Moving an existing loan to another lender for a better rate.

55. Sources and where to re-check

Everything in this playbook traces back to an official or primary source. Where a number can change, the source is named so you can re-check it in minutes.

- Ministry of Education - PM-Vidyalaxmi scheme guidelines and the CSIS (PM-USP) guidelines.
- Press Information Bureau (PIB) - the Cabinet approval of PM-Vidyalaxmi and the July 2026 scheme updates.
- PM-Vidyalaxmi portal (pmvidyalaxmi.co.in) and the Vidya Lakshmi portal (vidyalakshmi.co.in) - the application process, document list and FAQs.
- National Credit Guarantee Trustee Company (NCGTC) - the CGFSEL scheme features.
- Indian Banks' Association - the Model Education Loan Scheme and the CELAF.
- Bank rate cards - SBI and Bank of Baroda education-loan interest pages, October 2026.

- Income Tax Department - Section 80E (1961 Act) and its successor Section 129 (Income-tax Act, 2025).

One last word

This is an independent guide, not a government publication, and not financial or legal advice. Every figure was verified from the sources above in October 2026, but scheme limits, rates and NIRF-based institution lists change. Before you rely on any number for a decision, confirm it on the portal or with your bank - that is exactly what the rest of this playbook trains you to do.

56. The bank-visit checklist

If you do meet the branch - for a sanction, a collateral discussion or a query - carry these and ask these. One organised visit beats three disorganised ones.

Carry

- Aadhaar, PAN, and the student's and co-applicant's photographs.
- Marksheets, the admission letter and the total fee structure.
- The co-applicant's income proof, bank statements and CIBIL report.
- Collateral papers with a clean chain of title, if the loan needs security.
- A printout of your portal application and any reference number.

Ask

- Which benchmark is my rate linked to, and how often does it reset?
- Is the PM-Vidyalaxmi rate cap applied to my sanction?
- Have the girl-student and interest-servicing concessions been applied in writing?
- What is the exact EMI, and is there a longer tenure that lowers it?
- What is the turnaround time for disbursement to the institution?

Leave with paper

Get the sanction terms and any concession confirmed in writing before you leave. A verbal promise does not survive a change of branch officer.

57. Five pairs people confuse

Half the confusion in education finance comes from five pairs of terms that sound similar and are not. Sort them once and the rest of the process is clear.

The pair	The difference that matters
PM-Vidyalaxmi vs Vidya Lakshmi	Vidya Lakshmi (vidyalakshmi.co.in) is the older single-window loan portal; PM-Vidyalaxmi (pmvidyalaxmi.co.in) is the newer unified portal for the scheme, its subvention and its credit guarantee
EBLR vs MCLR	EBLR is repo-linked and resets quarterly, so rate cuts reach you sooner; MCLR is older and resets more slowly. Prefer a repo-linked loan

The pair	The difference that matters
Guarantee vs subsidy	A guarantee (CGFSEL) protects the bank and removes the collateral demand; a subsidy (the 3% subvention or CSIS) pays part of your interest
Moratorium vs tenure	The moratorium is the repayment holiday (course plus one year); the tenure is the repayment period after it, up to 15 years
CSIS vs the 3% subvention	CSIS is a full moratorium interest waiver for family income up to Rs. 4.5 lakh; the 3% subvention is a partial one for income up to Rs. 8 lakh

One clean sentence each

If you can say what each of these five means in one sentence, you understand the system better than most people standing at the bank counter.